

ULTIMATE ACCOUNTANCY MASTER PAPER

Based on Most Repeated Board Questions (2022-2024)

Time Allowed: 3 Hours | Max Marks: 80+

Based on a comprehensive analysis of the 9 question papers (Series WYXZ7 and EF1GH/5 from 2022, 2023, and 2024), I have compiled a **Master Practice Paper**. While the standard board pattern contains 34 questions, I have added 3 extra high-importance questions (totaling 37) to cover all frequently repeated variations found in the analyzed PDFs.

PART A: Accounting for Partnership Firms and Companies

Section I: Multiple Choice Questions (1 Mark Each)

1. (Partnership Act)

In the absence of a Partnership Deed, which of the following rules is correct?

- (a) Interest on Capital is allowed @ 6% p.a.
- (b) Partners are entitled to a salary.
- (c) Interest on Loan from a partner is allowed @ 6% p.a.
- (d) Profit is shared in capital ratio.

(Repeated in 2022, 2023, 2024)

2. (Assertion-Reason)

Assertion (A): The private assets of a partner can be used to pay off the firm's debts.

Reason (R): The liability of partners for the acts of the firm is unlimited.

- (a) Both A and R are correct and R is the correct explanation of A.
- (b) Both A and R are correct but R is not the correct explanation of A.
- (c) A is correct but R is incorrect.
- (d) A is incorrect but R is correct.

(Source: 2024 Set 1 Q2, 2022 Set 1 Q4)

3. (Reconstitution)

A and B are partners sharing profits in 3:2. They admit C for 1/5th share. C brings ₹ 30,000 as capital. The proportionate capital of A and B will be adjusted based on C's capital. Total

capital of the new firm will be:

(a) ₹ 1,50,000 | (b) ₹ 1,20,000 | (c) ₹ 1,00,000 | (d) ₹ 90,000

4. (Shares - Theory)

The maximum amount of discount at which forfeited shares can be re-issued is:

- (a) 10% of face value.
- (b) Amount of premium received.
- (c) Amount already received (forfeited) on such shares.
- (d) Uncalled capital.

(Source: 2024 Set 1, Q13)

5. (Debentures)

Discount on Issue of Debentures is written off:

- (a) In the year of issue.
- (b) Over the tenure of debentures.
- (c) At the time of redemption.
- (d) Never written off.

6. (Dissolution)

On dissolution, if a partner pays realization expenses of ₹ 2,000 on behalf of the firm, the entry will be:

- (a) Realisation A/c Dr to Bank A/c | (b) Realisation A/c Dr to Partner's Capital A/c
- (c) Partner's Capital A/c Dr to Bank A/c | (d) No Entry

7. (Shares - Pro-rata)

If a company receives applications for 1,50,000 shares against an issue of 1,00,000 shares, and rejects 20,000 applications, what is the pro-rata ratio for the remaining applicants?

- (a) 3 : 2 | (b) 13 : 10 | (c) 4 : 3 | (d) 15 : 10

8. (Interest on Drawings)

If equal amounts are withdrawn in the beginning of each quarter, for how many months is interest calculated?

- (a) 6 months | (b) 7.5 months | (c) 4.5 months | (d) 6.5 months

Section II: Short Answer Type (3 Marks)

9. (Appropriation of Profit)

A and B are partners. A is entitled to a commission of 10% on net profit *after* charging such commission. Net Profit before commission is ₹ 1,10,000. Calculate A's commission.

10. (Issue of Shares - Consideration Other than Cash)

X Ltd. purchased assets of ₹ 8,00,000 from Y Ltd. It issued equity shares of ₹ 100 each at a premium of 25% in full satisfaction of the claim. Pass necessary journal entries.

11. (Death of Partner - Turnover Basis)

X, Y, and Z were partners. Z died on 30th June 2023. Sales for the year 2022-23 were ₹ 10,00,000 and Profit was ₹ 2,00,000. Sales from 1st April to 30th June 2023 were ₹ 3,00,000. Calculate Z's share of profit.

12. (Dissolution - Specific Entries)

Pass entries:

- (i) Creditor of ₹ 20,000 took over stock of ₹ 15,000 at ₹ 12,000 and the balance was paid in cash.
- (ii) Loss on realisation ₹ 10,000 distributed between partners A and B (3:2).

Section III: Short Answer Type (4 Marks)

13. (Debentures - Terms of Redemption)

Pass Journal entries for the issue of debentures in the following cases:

- (i) Issued 2,000, 9% Debentures of ₹ 100 each at a discount of 5%, redeemable at par.
- (ii) Issued 2,000, 9% Debentures of ₹ 100 each at a discount of 5%, redeemable at a premium of 10%.

14. (Death of Partner - Executor's Account)

Prepare the Deceased Partner's Capital Account. Info: Balance b/d ₹ 2,00,000; Interest on Capital 10% p.a.; Share of Goodwill ₹ 40,000; Share of Profit till death ₹ 15,000; Drawings ₹ 20,000. Death occurred after 3 months.

15. (Change in PSR/Revaluation)

A, B, and C share profits in 5:3:2. They decide to share equally. Goodwill valued at ₹ 90,000. Pass the single adjustment entry.

16. (Debentures - Collateral Security)

A company took a loan of ₹ 5,00,000 from SBI and issued 6,000, 10% Debentures of ₹ 100 each as collateral security. Show how this will appear in the Balance Sheet.

Section IV: Long Answer Type (6 Marks)

17. (Shares - Comprehensive Pro-rata)

ABC Ltd. invited applications for 50,000 shares of ₹ 10 each at a premium of ₹ 2. Applications were received for 75,000 shares. Pro-rata was made to applicants of 60,000

shares (rem. rejected). Mr. X (applied 1,200 shares) failed to pay Allotment (including premium) and Call money. His shares were forfeited. Reissued 800 shares at ₹ 8 fully paid. Pass Journal Entries.

18. (Admission/Retirement of Partner)

Prepare Revaluation Account and Partners' Capital Accounts. Adjustments: Bad debts provision, unrecorded asset, capital adjustment based on new partner's share (Admission) OR payment to retiring partner through loan (Retirement).

19. (Dissolution - Full Accounts)

Prepare Realisation Account, Capital Accounts, and Bank Account from a given Balance Sheet. Key Adj: Partner taking over liability, Expenses paid by firm on behalf of partner.

20. (Debentures - Issue & Writing off Loss)

Pass entries for the issue of 10,000 debentures at a discount of 6%, redeemable at a premium of 10%. Also, pass the entry to write off the 'Loss on Issue of Debentures' using Securities Premium.

PART B: Analysis of Financial Statements

Section V: Multiple Choice Questions (1 Mark Each)

21. Which is NOT a tool of financial analysis? | (a) CFS (b) Ratio (c) Balance Sheet (d) Common Size
22. Main objective of Common Size B/S: | (a) Relation (b) Changes (c) Cash move (d) None
23. "Sale of Marketable Securities" is: | (a) Invest. (b) Oper. (c) Cash Equivalent (d) Financ.
24. Assertion: Div payment is Financing. Reason: Based on Share Cap. | (a) Both A and R correct.
25. Current Ratio 2:1. Credit purchase of goods will: | (a) Incr (b) Decr (c) No change
26. Interest received by finance company: | (a) Oper. (b) Invest. (c) Financ. (d) Cash Eq.
27. ICR Formula: | (a) NPAT/Int (b) NPBIT/Int (c) NP/Assets (d) Turnover/Int

Section VI: Short Answer (3-4 Marks)

28. (Schedule III - Headings)

Major/Sub-head for: (i) Loose Tools (ii) Calls in Advance (iii) Prov. for Tax (iv) 9% Debentures (v) Software (vi) Mining Rights.

29. (Comparative Statement)

Prepare Comparative P&L: Revenue ₹ 20L (2023), ₹ 30L (2024). Expenses: 60%. Tax: 30%.

30. (Ratios)

Calculate ITR and WCTR: Revenue ₹ 5,00,000; GP 20%; Op. Inv ₹ 40k; Cl. Inv ₹ 60k; CA ₹ 1,20,000; CL ₹ 40,000.

31. (Ratios)

CL ₹ 1,50,000. CR 3:1. LR 1:1. Calculate Inventory.

32. (Common Size)

Prepare Common Size B/S (Extract) for Shareholder Funds & NCL.

33. (Cash Flow Theory)

Classify: (i) Tax Refund (ii) Bonus Shares (iii) Goodwill Purchase (iv) Bank OD Interest.

Section VII: Long Answer (6 Marks)

34. (Cash Flow Statement)

Prepare CFS. Adj: Dep on Mach ₹ 20k; Interim Div ₹ 10k; Tax provided ₹ 30k.

35. (Cash Flow - Asset Account)

Calculate CFI: Machinery Op: ₹ 7,20k, Cl: ₹ 8,60k. Acc. Dep Op: ₹ 2,40k, Cl: ₹ 3,00k. Machine cost ₹ 80k (Acc Dep ₹ 30k) sold for ₹ 35k.

36. (Ratio Analysis - Case)

Debt-Equity 2:1. Effects of: (i) Issue Shares for Cash (ii) Redemption of Debentures (iii) Credit Purchase.

37. (Share Capital Presentation)

Show B/S extract: Auth 1L, Issued 80k, Subscribed 78k, Arrears 1k @ ₹ 2, Forfeited 500 shares.

Final Paper By Mindmaster Thunderstudy Account